CISI Diploma in Investment Compliance

Regulation and Compliance

Chapter 6 Portal Slides

Knowledge | Skills | Conduct

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Chapter 6 Modules Overview

Knowledge | Skills | Conduct

Chapter 6 Modules Overview

Chapter summary

- Risk Management
- Compliance Risk Management
- Ethics and Professionalism

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Risk Management

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Risk

(6.1.1) Management of risk

- In business, as in life, if you do not take any risks, you are unlikely to get any reward (business profits)
  - The goal of business is **not** to **avoid** risks, but to **manage** them so as to keep them at a reasonable (and manageable) level, consistent with the firm's business objectives.
  - One of the roles of compliance is to **help with the management of the risks** to which the firm is exposed, in order to achieve the firm's business objectives.
- Key components of a simple risk management framework
  - Risk policies and governance at board level
  - Risk oversight function to
    - Identify of risk
    - Assess of risk
    - Ensure the control of risk
    - Monitor and report on risks and controls
    - Day-to-day risk management

Conduct Risk

Conduct Risk

- FCA expects firms to develop their own definition, and how it applies to them
  - My definition – ‘The risk that firm behaviour will result in poor outcomes for customers’
  - Usually as a result of a culture of short-term profit maximisation at the expense of fair treatment of customers, or ethical behaviour
- Firms should **promote**:
  - Good behaviour across all aspects of the organisation
  - A culture of zero tolerance for misconduct
- Firms should **refrain from**:
  - Prioritising profits over ethics, or commercial interests over customer interests
  - A ‘tick-box-based’, or overly-legalistic, approach to compliance
  - The idea of ‘caveat emptor’, or that disclosure absolves the firm from all responsibilities to the customer
  - Complying only with the letter, not the spirit, of laws and regulations

Financial Crime Risk Management

(3.4.7) The FCA Financial Crime Guide

- The FCA's 'Financial Crime: A Firms Guide to countering financial crime risks' provides practical assistance and information for firms of all types and sizes
- Firms have flexibility in how to comply with financial crime obligations as long as the desired results are achieved
  - Firms should take a risk-based, outcomes-focused approach
- The guide gives good and poor examples of:
  - Governance
  - Structure
  - Risk assessment
  - Policies and procedures
  - Recruitment, vetting, training, awareness and remuneration
  - Quality of oversight

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Compliance Risk Management

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Risk Management and Compliance

(6.1.1) Risk Management and Compliance functions

Risk Management Risks are understood and managed or avoided	**Compliance function** Ensures that rules and regulations are followed
Given formal status in the firm Independent The power and resources to perform their role The need to balance the roles of advisor and watchdog	

- Compliance and risk management protect and add shareholder value
  - Early identification of risk and compliance issues can prevent loss to the firm, e.g.:
    - Avoid exposure to too much risk
    - Reduce likelihood of action taken by regulators for breach of rules
    - Avoid client litigation
    - Identify and reject choices that do not comply with regulation

BIS Guidance on Compliance Risk

(6.1.1) Ten Principles for Banks and Supporting Guidance

1. The Board is responsible for overseeing the management of compliance risk

Senior management is responsible for:

2. Managing compliance risk
3. Establishing a compliance policy
4. Establishing a compliance function

The **compliance function** should be:

5. Independent
6. Adequately resourced
7. Effective in managing compliance risk
8. Subject to internal audit

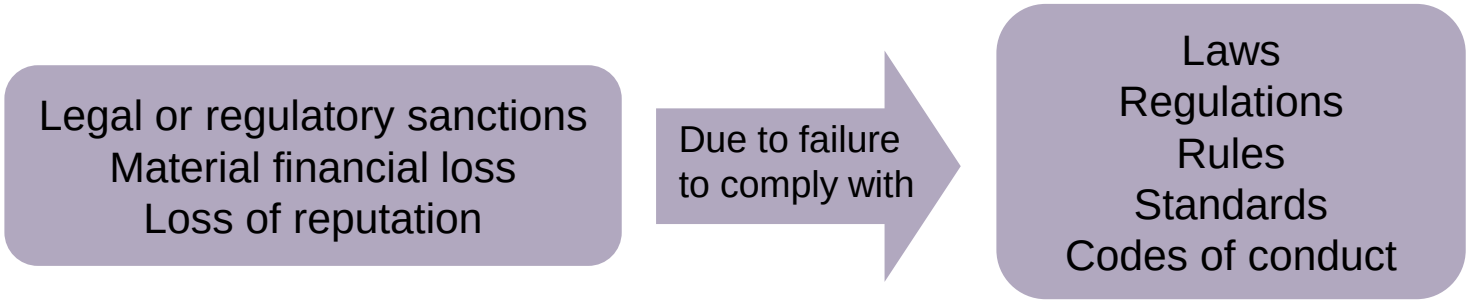
The **firm** should ensure:

9. All local laws and regulations should be obeyed
10. Outsourced compliance tasks should be appropriately overseen

Compliance Risk

(6.1.3) Compliance risk

- The risk of:



- Measures to be taken
  - Observe proper standards of market conduct
  - Manage conflicts of interest
  - Follow FCA principles and rules (e.g. PRIN, COBS etc.)
  - Conduct risk management and fair treatment of customers
  - Ensure suitability of customer advice
  - Establish independent, adequately resourced, effective compliance function

An Independent, Resourced Compliance Function

(6.1.3) Independence of the compliance function

- Independence means:
  - Formal status
  - Head of compliance
  - Avoid conflicts
  - Access to information and personnel
- The Three Lines of Defence model
  - First line of defence – business operations
  - Second line of defence – accounts, risk management and compliance functions
  - Third line of defence – internal audit

(6.1.3) Adequate resources

- Sufficient and proportionate to ensure compliance risk is effectively managed
- Compliance staff should have:
  - Necessary qualification, experience and professional and personal qualities
  - Sound understanding of compliance laws, rules and standards

An Effective, Compliance Function

(6.1.3) An effective, compliance function

- Key purposes of a compliance function
  - Assurance to senior managers and board of compliance
  - Advise board, management and staff of compliance responsibilities
  - Identify and record good and bad practice
  - Provide analysis and early warning of regulatory change
  - Build a relationship with regulators
  - Respond and co-ordinate responses to proposed legislation and regulation

- Characteristics of an effective compliance function
  - Seen as an advantage to the business
  - Consulted regularly
  - Valued by the staff

Monitoring for Compliance

(6.1.3) Monitoring for compliance

- Methods of monitoring
  - Interview staff
  - Observe processes to see evidence of controls in use
  - Testing samples of transactions
  - Regular reviews/appraisal of performance by senior managers
  - Self-certification of individuals
  - Analysis of audit trails
- Potential outcomes
  - Training and development activities
  - Internal disciplinary measures
  - External regulatory sanctions
  - Legal avenues

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Ethics and Professionalism

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Ethics and Professionalism

(6.2.4) CISI code of conduct

- Required approach for practitioners:
  - Understand the relevant legislation and regulation
  - Act within the rules **and** in an appropriately ethical and professional manner
- The exam syllabus emphasises this in the context of your answers
  - Section A list principles (usually any four, or any six)
  - Section B compulsory ethics case study
  - Section B scenario question
  - Section C essay question

CISI Code of Conduct

(6.2.4) CISI code of conduct

	Principle	Stakeholders
1.	**Personal Accountability –** Uphold highest levels of personal and professional standards at all times, acting with integrity, honesty, due skill, care and diligence to avoid damaging reputation of your firm or profession	Self, clients, regulators, colleagues, market participants, firms, society
2.	**Client Focus –** Put the interests of clients and customers first by treating them fairly, being a good steward of their interests, respect confidentiality	Clients
3.	**Conflict of Interest –** Being alert to, and actively manage fairly and effectively, any personal or other conflict of interest; obey the law and regulations	Clients, market participants, regulators
4.	**Respect for Market Partners –** Treat all counterparties and business partners with respect, observe proper standards of market integrity and conduct	Clients, market participants
5.	**Professional Development –** Strive continually for professional excellence, commit to CPD, promote and support the development of others	Profession, clients, colleagues
6.	**Aware of Capabilities –** Decline to act on any matter of which you are not competent or qualified, unless you have access to advice or assistance	Clients, profession, market participants
7.	**Respect Others and the Environment –** Treat everyone fairly and with respect, support opportunity for all, embrace diversity and inclusion, ensure the environmental impact of your work is considered	Society, colleagues, clients, regulators, market participants, profession, professional body
8.	**Speak Up and Listen Up –** Be active in speaking up, and encourage others to do so by listening up, promote safe environment for all	Society, colleagues

CISI Code of Conduct

(6.2.4) CISI Values can help to decide the best course of action

- Is the **course of action** I am considering:
  - **Clear *(Honest)*?** Have I been truthful about my action or decision with everyone involved, and told no lies or ‘half-truths’?
  - **Impartial *(Open)*?** Is everyone affected by my action or decision aware of the consequences?
  - **Straightforward *(Transparent)*?** Have I made sure that my action or decision will not result in any party being unknowingly disadvantaged or unduly advantaged?
  - **Informed *(Fair)*?** Have I considered the interests of my potential stakeholders and not been misleading when making my decision?
- Professional integrity requires **prioritisation**
  - **Client first**
  - **Firm second**
  - **Self third**